

Chapter 8

Business Financing

12.1 Sources of Capital

Companies raise funds from domestic sources and foreign sources. The important domestic sources are

i) Internal Self-Finance:

An important source is the saving of the unit itself. It may be the household, the business or the government.

The households save as well as invest and lends its surplus to other units via, financial institutions like banks, capital market etc. The savings of the business includes depreciation and the retained earnings. When it is not adequate it borrows from financial institutions. Government also finances a part of their investment from internally generated funds. These arise from the excess of tax and other income over consumption spending plus transfers.

An advantage of investment through internally generated funds is that it combines the acts of saving and investment. It helps to reduce the cost of borrowing.

ii) Equity, Debentures and Bonds:

A large part of finance for fixed investments [building, machines, etc.] comes from different types of equity or shares. These shares bear risks of different degrees and cater to the needs of different investors. The latest trend is to issue shares in small denominations of ten rupees so as to enable the largest number of people to participate in providing long-term finance.

Companies also get long-term finance through the issues of debentures and bonds. These are debt (loans) instruments. The buyers of those debentures and bonds are the creditors of companies. They get a fixed rate of interest on the money invested in these securities.

iii) Public Deposits:

Another source is public deposits. It is also a debt-instrument, mostly for short-term

finance. Under this system, people keep their money as deposit with these companies or managing authorities for a period of six months, a year, two years, three years or so. Depositors receive a fixed interest. This money is used by companies to meet their needs of working capital. However, this source of finance is unreliable because depositors can seek refund at any time.

iv) Loans from Banks:

Commercial banks also provide funds for meeting short-term needs or for working capital. Loans are given against the guarantee of government securities and stocks with companies. Loans are advanced in the form of overdraft and credit limit. Also commercial banks purchase debentures issued by the companies. They can earn fixed interest on such investment and at the time of need they can sell these debentures in the market and recover their money.

v) Indigenous Bankers:

Indigenous bankers also advance financial help to a few large-scale industries, particularly during the time of stress, both for fixed capital and working capital. But mainly they have provided finance to small scale industries. These banks charge a very heavy rate of interest, thus making finance a costly affair.

vi) Development Finance Institutions:

Development finance institutions cater to the needs of large and small industries. The new institutions supplying industrial finance are Industrial Development Bank of India, Industrial Finance Corporation of India, Industrial Reconstruction Bank of India, State Financial Corporations, and State Industrial Development Corporations. These institutions provide huge quantity of finances for setting up of new industries, for meeting their several needs and in several forms.

Shares and Bonds

When companies want to raise capital, they can issue Shares or bonds.

A share is a stake in the ownership of a company. It is a security that is also sometimes referred to as an equity. When a company issue shares, they are selling a certain amount of ownership in their company. An investor who buys the shares has a claim to the company's earnings and assets.

Some companies pay out a percentage of profits to investors in the form of dividends. However, companies are not obliged to pay dividends and they are not certain. Over time dividends can be increased, decreased or not declared at all.

When more shares are issued, future earnings must be shared among a larger pool of investors. More shares can cause a decrease in earnings per share (EPS), putting less money in owners' pockets. EPS is also one of the indicators that investors look at when evaluating a firm's health. A declining EPS number is generally viewed as an unfavourable development

Shares are perpetual investments and they do not have specific maturity period. The most attractive feature of stock issuance is that the money does not need to be repaid.

Bonds are a loan agreement that a company enters into with the investor. By buying a bond, an investor is lending money to a company for a pre-agreed period of time. For its part, the company agrees to pay back the money lent by the investor on a fixed date and to make regular interest payments during the period of the loan or in bulk at the time of maturity. When the bond reaches its maturity date, the company repays the investor.

Unlike shares, bonds are temporary investments which have fixed lifecycles. Although elements of the lifecycle may vary from bond to bond, the stages are the same from issue to maturity. Bond financing is often less expensive than equity.

Bond issuance enables corporations to attract a large number of lenders in an efficient manner. Record keeping is simple because all bondholders get the same deal. For any given bond, they all have the same interest rate and maturity date.

The following are the major differences between shares and bonds

Bonds	Shares
The investor lends money to the company	The investor owns part of the company
The Issuers of bonds are Govt. institutions, financial institutions, companies, etc.	Shares are issued by corporate enterprises
Risk is relatively low	Risk is very high

Bond holders get Interest, as a fixed payment

Shareholders get dividend, which is not guaranteed

Return is certain

Return is uncertain

As bondholders have a higher claim on assets, investors may still recover some of their initial capital

When a company is declared bankrupt Stocks will become worthless and investors may lose 100% of their capital

The capital is paid back in full to the investor at maturity

The amount of capital the investor gets back depends on the share price when the stocks are sold.

Maturity period is fixed

No maturity period for shares

✓ Money market and Capital market

A financial market deals with financial assets such as stocks, bonds, treasury bills, currencies etc. The two important components of a financial market are money market and capital market.

Money market

Money market deals with short term financial assets, that is, assets up to a maturity period of one year. The important instruments used in the money markets are deposits, collateral loans, bills of exchange, treasury bills, certificate of deposits etc. Institutions operating in money markets are central banks, commercial banks and acceptance houses etc.

Money markets provide a variety of services for individuals, corporates and government entities. Liquidity is often the main purpose for accessing money markets because short term debts are issued for the purpose of covering operating expenses or working capital for a company or government. . The money market plays a crucial role in ensuring companies and governments to maintain the appropriate level of liquidity.

Money Market is an unsystematic market, and so the trading is done off the exchange, i.e. Over The Counter between two parties by using phones, email, fax, online, etc. It plays a major role in the circulation of short-term funds in the economy. It helps the industries to fulfil their working capital requirement.

Functions of money market

The following are the important functions performed by the money market.

1. **Financing trade** - Money market finance internal and international trade. Finance is made available to the traders through bills of exchange, which are discounted by the bill market. The acceptance houses and discount markets help the traders in this process.
2. **Financing Industry** - Money market contributes to the growth of industries. Money market helps the industries in securing short-term loans to meet their working capital requirements through the system of finance bills, commercial papers, etc.
3. **Profitable Investment** - Money market enables the commercial banks and other financial institutions to invest their excess reserves in profitable way. Money market gives the opportunity to invest surplus funds in short term assets which are highly liquid.
4. **Financial Mobility** - By facilitating the transfer for funds from one sector to another, the money market helps in financial mobility. Mobility in the flow of funds is essential for the development of commerce and industry in an economy.
5. **Equilibrium between Demand and Supply of Funds** - The money market brings equilibrium between the demand and supply of loanable funds.
6. **Economic growth** - Since money market helps in the development of trade, industry and agriculture, it promote overall economic growth.

Capital Market

A capital market deals with long term financial assets. In other words a *capital market is a financial market in which long-term financial assets are bought and sold*. Capital markets channel the wealth of savers to those who can put it to long-term productive use, such as companies or governments making long-term investment. The instruments which are traded in a capital market includes stocks,

bonds, debentures etc. whose maturity period is not limited up to one year or sometimes the securities are irredeemable (no maturity). The Capital Market works under full control of Securities and Exchange Board to protect the interest of the investors. Capital markets are risky markets and are not usually used to invest short-term funds.

A capital market is broadly divided into two major categories: Primary Market and Secondary Market. A market where fresh securities are offered to the public for subscription is known as Primary Market where as a market where already issued securities are traded among investors is known as Secondary Market.

Functions of capital market

1. Allocative function- The capital market functions as a link between savers and investors. It plays an important role in mobilising the savings and diverting them in productive investment. In this way, capital market plays a vital role in transferring the financial resources from surplus and wasteful areas to deficit and productive areas, thus increasing the productivity and prosperity of the country.

2. Encourages Saving- With the development of capital, market, the banking and non-banking institutions provide facilities, which encourage people to save more.

3. Encourages Investment - The capital market facilitates lending to the businessmen and the government and thus encourages investment. It provides facilities through banks and nonbank financial institutions. Various financial assets, e.g., shares, securities, bonds, etc., induce savers to lend to the government or invest in industry. With the development of financial institutions, capital becomes more mobile, interest rate falls and investment increases.

4. Promotes Economic Growth- Various institutions of the capital market, like nonbank financial intermediaries, allocate the resources rationally in accordance with the development needs of the country. The proper allocation of resources results in the expansion of trade and industry in both public and private sectors, thus promoting balanced economic growth in the country.

5 Indicative Function- A Capital Market acts as a barometer showing not only the progress of a company but also of the economy as a whole through share price movements.

6. Liquidity function – In a developed capital market, securities can be purchased and sold without any delay and hence it ensures liquidity in the economy.

Major differences between Money Market and Capital Market

The following are the important difference between money market and capital market

1. The place where short-term marketable securities are traded is known as Money Market where as in Capital Market, long-term securities are created and traded. Capital Market is well organised which Money Market lacks.
2. The instruments traded in money market carry low risk, hence, they are safer investments, but capital market instruments carry high risk.
3. The major institutions that work in money market are the central bank, commercial bank, non-financial institutions and acceptance houses. On the contrary, the major institutions which operate in the capital market are stock exchange, commercial bank, non-banking institutions etc.
4. Money market full fills short term credit requirements of the companies such as providing working capital to them. As against this, the capital market tends to full fill long term credit requirements of the companies, like providing fixed capital to purchase land, building or machinery.
5. Capital Market Instruments give higher returns as compared to money market instruments.
6. Maturity of Money Market instruments is one year or less, but Capital Market instruments have a life of more than a year as well as some of them are irredeemable in nature.
7. Money market is unsystematic in nature where as a capital market is systematic in nature.
8. While money market helps to increase the liquidity in the economy capital helps in the mobilisation of savings in the economy.

Stock market

The stock market refers to the collection of markets and exchanges where regular activities of buying, selling, and issuance of shares of publicly held companies take place. According to the Securities Contracts (Regulation) Act, 1956, "Stock Exchange means an association, organization or body of individual whether incorporated or not, constituted for the purpose of assisting, regulating, or controlling the business of buying, selling or dealing in securities. In short, stock market is an institution which provides a platform for buying and selling of existing securities. While both terms - stock market and stock exchange - are used interchangeably, the latter term is generally a subset of the former. If one says that he trades in the stock market, it means that he buys and sells shares/equities on one (or more) of the stock exchange(s) that are part of the overall stock market.

While today it is possible to purchase almost everything online, there is usually a designated market for every commodity. A stock market is a similar designated market for trading various kinds of securities in a controlled, secure and managed environment. Since the stock market brings together hundreds of thousands of market participants who wish to buy and sell shares, it ensures fair pricing practices and transparency in transactions.

As a primary market, the stock market allows companies to issue and sell their shares to the common public for the first time through the process of initial public offerings (IPO). This activity helps companies raise necessary capital from investors. A listed company may also offer new, additional shares through other offerings at a later stage. Following the first-time share issuance called the listing process, the stock exchange also serves as the trading platform that facilitates regular buying and selling of the listed shares. This constitutes the secondary market. As almost all major stock markets across the globe now operate electronically, the exchange maintains trading systems that efficiently manage the buy and sell orders from various market participants.

The following are some of the important functions of stock market.

- **Providing Liquidity and Marketability to Existing Securities:** The basic function of a stock market is the creation of a continuous market where securities are bought and sold. It gives investors the chance to disinvest and reinvest. This provides both liquidity and easy marketability to already existing securities in the market.
- **Pricing of Securities:** Share prices in stock market are determined by the forces of demand and supply. A stock exchange is a mechanism of constant valuation

through which the prices of securities are determined. Such a valuation provides important instant information to both buyers and sellers in the market.

- **Safety of Transaction:** The membership of a stock market is well-regulated and its dealings are well defined according to the existing legal framework. This ensures that the investing public gets a safe and fair deal on the market.
- **Contributes to Economic Growth:** A stock market is a market in which existing securities are resold or traded. Through this process of disinvestment and reinvestment savings get channelized into their most productive investment avenues. This leads to capital formation and economic growth.
- **Spreading of Equity Cult:** The stock market can play a vital role in ensuring wider share ownership by regulating new issues, better trading practices and taking effective steps in educating the public about investments.
- **Providing Scope for Speculation:** The stock market provides sufficient scope within the provisions of law for speculative activity in a restricted and controlled manner. It is generally accepted that a certain degree of healthy speculation is necessary to ensure liquidity and price continuity in the stock market

NSE

The National Stock Exchange of India Limited (NSE) is the leading stock exchange of India, located in Mumbai. NSE was established in 1992 as the first dematerialized electronic exchange in the country. It is the world's 10th-largest stock exchange according to May 2021 data. It was recognised as a stock exchange by SEBI in April 1993 and commenced operations in 1994 with the launch of the wholesale debt market, followed shortly after by the launch of the capital market segment.

In 1996, the NSE was the first exchange in India that planned to trade derivatives specifically on an equity index. In February 2000, the NSE started an Internet trading system. NSE provides a trading platform for various types of securities for investors under one roof - equity, debentures, central and state government securities, Treasury bills, commercial papers, certificate of deposits, mutual fund units etc.

BSE

BSE (formerly known as Bombay Stock Exchange) was started in 1875. However, in 1850s, five stock brokers gathered together under a Banyan tree in front of Mumbai Town Hall. A decade later, the brokers moved their location to under another banyan trees at the junction of Meadows Street. With a rapid increase in the number of brokers, they had to shift places repeatedly. At last, in 1874, the brokers found a permanent location, the one that they could call their own. The brokers group became an official organization known as "The Native Share & Stock Brokers Association" in 1875. BSE is Asia's first & the

Fastest Stock Exchange in world with the speed of 6 micro seconds and one of India's leading exchange groups. Over the past 145 years, BSE has facilitated the growth of the Indian corporate sector by providing it an efficient capital-raising platform

STOCK EXCHANGE INDICES

Stock market indices are the barometers of the stock market. They mirror the stock market behaviour. With some 7,000 companies listed on the Bombay stock exchange; it is not possible to look at the prices of every stock to find out whether the market movement is upward or downward. The indices give a broad outline of the market movement and represent the market. Some of the stock market indices are BSE Sensex, BSE200, Dollex, NSE-50, CRISIL-500, Business Line 250 and RBI Indices of Ordinary Shares. Mr. Charles Dow created the first stock market index known as the Dow Jones index back in May of 1896.

NIFTY

NIFTY is a market index introduced by the National Stock Exchange. It is a blended word – National Stock Exchange and Fifty coined by NSE on 21st April 1996. NIFTY 50 is a benchmark based index and also the flagship of NSE, which showcases the top 50 equity stocks traded in the stock exchange out of a total of 1600 stocks.

These stocks span across 12 sectors of the Indian economy which include – information technology, financial services, consumer goods, entertainment and media, financial services, metals, pharmaceuticals, telecommunications, cement and its products, automobiles, pesticides and fertilizers, energy, and other services.

NIFTY contains a host of indices – NIFTY 50, NIFTY IT, NIFTY Bank, and NIFTY Next 50. Nifty is owned by India Index Services and Products Ltd. (IISL). It is calculated using the free float market capitalization weighted method where the level of index reflects the total market value of the stocks relative to a particular base period. The base period selected for calculating Nifty50 index is the close price on Nov 3, 1995. The base value has been set at 1000.

SENSEX

The BSE SENSEX (also known as the S&P Bombay Stock Exchange or Sensitive Index or simply the SENSEX) is a free-float market-weighted stock market index of 30 well-established and financially sound companies listed on Bombay Stock Exchange. These 30 companies are known as Blue chip companies. The 30 component companies which are

some of the largest and most actively traded stocks are representative of various industrial sectors of the Indian economy. Published since 1 January 1986, the S&P BSE SENSEX is regarded as the pulse of the domestic stock markets in India. The base value of the SENSEX was taken as 100 on 1 April 1979 and its base year as 1978–79. On 25 July 2001 BSE launched DOLLEX-30, a dollar-linked version of the SENSEX.

Historically Sensex used the weighted market capitalization methodology, but from September 1, 2003, it shifted to Free Float Market Capitalization methodology. All the major indices in the world use the same methodology. The performance of the 30 selected key stocks directly reflects the level of the index.

If a person wants to trade in the stock market, he must obtain a demat and trading account.

Demat Account

Demat account is used to hold the shares purchased in digital or electronic form. During online trading, shares are bought and held in a Demat account, thus facilitating easy trade for the users. A Demat account holds all the investments an individual makes in shares, government securities, exchange-traded funds, bonds and mutual funds in one place. At any point of time, Demat account will show the shares and securities that a person is currently holding. In other words, it is a storage space to hold the shares and securities purchased. It is only a repository. It is similar to a bank account in which we hold deposits with the bank and the record of debit/credit balances are maintained in a bank passbook. In the same way, when we purchase or sell shares, it will be credited or debited to/from our Demat Account respectively.

Dematerialisation is the process of converting the physical share certificates into electronic form, which is a lot easier to maintain and is accessible from anywhere throughout the world. An investor who wants to trade online needs to open a Demat with a Depository Participant (DP - broker). The purpose of dematerialisation is to eliminate the need for the investor to hold physical share certificates and facilitating a smooth tracking and monitoring of holdings.

Demat account is an easy and convenient way to hold securities. It is safer than paper-shares and reduces paperwork for transfer of securities. It also reduces transaction cost and a single account can hold investments in both equity and debt instruments. Another advantage is that a person can trade from anywhere.

Trading Account

A trading account is used to buy and sell shares and securities in the stock market. A trading account provide an interface to buy and sell shares from the stock market. Previously,

the stock exchange functioned on the open outcry system. In this, the traders used hand signals and verbal communication to convey their buying/selling decisions. Soon after the stock markets adopted the electronic system, trading accounts replaced the open outcry system. Most commonly, trading account refers to a day trader's primary account. These investors tend to buy and sell assets frequently, often within the same trading session.

In the online method, the buyers and sellers don't have to be physically present at the stock exchange to place orders. Instead, they open a trading account with a registered stock market broker; who conducts trading on their behalf. Each trading account has a unique trading ID which is utilised to perform online transactions. Nowadays, brokers provide facilities to the investors to perform transactions by themselves.

A trading account acts like a link between demat account and bank account of an investor. When an investor wants to buy shares, he places an order through his trading account. The required amount of money should be transferred from the bank account to trading account in advance. The said transaction goes for processing in the stock exchange. Upon execution, the required number of shares get credited into his demat account.

A similar kind of process is followed in order to sell equity shares. The investor places a sale order with the help of his trading account. It goes for processing in the relevant stock exchange. When the order is executed, the required number of shares are debited from his demat account and a proportionate sum gets credited to his trading account and finally to the bank account. At any point of time, a trading account will show the transactions we carried out in the stock market on that day.

Thus, if we want to trade in the stock market, we need both the accounts. To open these accounts, documents like proof of identity, address proof, Pan card etc. are needed.

'Shares' usually refers to units of ownership in a specific company – for example, you could say that you own ten Amazon shares.

'Stocks' is generally used to refer to portions of ownership of multiple companies – for example, you could say that you own stock in Amazon and Microsoft. That is, total amount of shares owns in more than one company.

'Equity' is the term used for total ownership stake in the company – for example, if a company had 10,000 shares, and you owned 1000 of them, you could say that you held a 10% equity stake in that company.

Usually, these terms are used interchangeably.